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Subject: English1

Unit 5: Introduction to Economics

UNIT FOCUS :

- **Reading**: Introduction to Economics
- **Vocabulary**: Matching Pairs
- **Grammar**: Present Simple

"**Economics is the study of how society manages its scarce resources**."

(N. Gregory Mankiw)

Reading

Read the Text.

Economics

Understanding how various economies work is the basic purpose of studying economics. We seek to know how an **economy (1)** is organized, how it behaves, and how successfully it **achieves (2)** its basic **objectives (3)**

Economics is concerned with production**, distribution (4)** and consumption of goods and services. There are two **branches (5)** of economics. Macroeconomics (macro **derives (6)** from the Greek word for "large") **investigates (7)** how scarce resources are allocated within the economy as a **whole (8)** or within an **entire (9)** industry. Scarcity **occurs (10)** because human wants exceed the production possibilities with our limited time and resources.

Scarcity **implies (11)** that every decision involves opportunity costs Opportunity costs exist in all situations where available resources are not **abundant (12)** enough to **satisfy (13)** all our desires. You can select only a few of all available **alternatives (14)** For example, a little boy goes into a toy store with 10. Many different toys **tempt (15)** him, but he finally **narrows** his choice to a **Monopoly (16)** game and a magic set each costing 10. If he decides to buy the Monopoly game, the opportunity cost is the magic set. And if he buys the magic set, the opportunity cost is the Monopoly game. If a town **hires (17)** an extra police officer instead of repairing several streets, the opportunity cost of hiring the officer is not repairing the streets.

Opportunity cost is the cost of **giving up** (**18**) the next best alternative. Thus scarcity forces us to choose. This idea is reflected in the following definition of economics: Economics is the study of how people, **individually** (**19**) or **collectively** (**20**) allocate their limited resources to try to satisfy their unlimited wants. **Commonly** (**21**) agreed-upon goals of macro policy include:

High employment. People **suffer** (**22**) when many workers cannot find a job and manufacturing plants and much machinery are **idle** (**23**). Price stability. If average prices are **volatile** (**24**), people may be uncertain about how much their wages will buy or whether to consume now or invest in hopes of future **returns** (**25**). Economic growth. People want higher incomes each year and most hope their children will be even more **prosperous** (**26**), than they are.

Microeconomics (micro derives from the **Greek** (**27**) word for "small") studies the economic behavior of individual firms. Three major **goals** dominate macro **policy** (**28**): Efficiency. An **inefficient** (**29)** economy **wastes** (**30**) resources and fails to provide the highest possible standard of living for consumers. Equity. **Huge** (**31**) **gaps** (**32**) between the rich and the poor leave most people **impoverished** (**33**) while a **privileged** (**34**) few live **luxuriously** (**35**) Freedom. Maximum freedom **requires** (**36**) people to have the widest possible range of choices available.

In order to produce anything, we need resources, or factors of production. Factors of production are the inputs – **land** (**37**), **labor** (**38**) and **capital** (**39**) (buildings and machinery) – we use to produce final goods and services (output). From an economist's **standpoint** (**40**), resources refer to anything that can be used to produce **products** (**41**), that is, either goods or services. Every **society** (**42**), from a tiny island **nation** (**43**) in the Pacific to the most **complex** (**44**) industrial **giants** (**45**) needs these resources: land, labor, and capital and **entrepreneurial** (**46**) ability. Land and capital are referred to as material resources. Labor and entrepreneurship are referred to as human resources. These are resources for the economy as a **whole**.

As a resource, land has a much more general meaning than our normal understanding of the word. **Economists** (**47**) use the term land in a broad sense to include not only **agricultural** (**48**) **land** and **land** for building sites but also other natural resources like minerals, water, and **timber** (**49**). The basic payment made to the owners of land is rent. Capital: In economic terms, capital is "man-made" goods used to produce other goods or services. **Equipment** (**50**), buildings, tools as well as the money that buys other resources are capital goods. Labor: The efforts of a factory worker, a **lawyer** (**51**), a sales representative, or anyone who works for a business are defined as labor. Entrepreneurial ability is the last factor of four basic resources. The entrepreneur sets up a **business** (**52**), **assembles** (**53**) the needed resources, risks his or her own money, and reaps the **profits (54)** or absorbs the losses of this **enterprise** (**55**)

Although all economies rely on the same basic factors of production, not all are **blessed** (56) with the same quantity and quality of resources. Besides, each economic system reflects the country's history, traditions, aspirations and politics. What works for one culture might not work as well for another, and vice versa.

Glossary

1. wealth and resources in a country	7. Studies	13. Meet, Convince	19. One by one	25. Profit	31. Big, Vast	37. Ground, Property
2. Gets	8. Complete	14. Options	20. In group	26. Successful	32. Distances	38. Work
3. Goals	9. Whole	15. Attract	21. Normally, Usually	27. The language of Greece	33. Make some people poor.	39. Money in business
4. The action of sharing	10. Happens	16. A kind of game.	22. Feel pain, bad experience	28. Doing sth officially agreed Which one is more important, macro or microeconomics?	34. People with high money and positions in society	40. Point of view
5. Fields	11. Suggests What is opportunity cost?	17. Employs	23. Inactive	29. Not working well	35. Very comfortably	41. Goods
6. Comes	12. Available in large quantity	18. Losing	24. Unstable, change suddenly	30. Misuses, uses wrongly	36. Needs	42. Community
43. A country	44. Complicated, not simple	45. Very large companies	46. Starting or arranging business deals to make money and often involves financial risks.	47. Educated in Economics	48. Farming	49. Lumber, Wood
50. Facility	51. Educated in Law	52. Start up in business	53. Collects, Puts together	54. Get the profit	55. A company or business	56. Desirable

Digest what you read.

A. Based on the information given in the text select True, False, Not Given.

1. Economics deals with production, distribution, and construction of goods and services.
2. People suffer when workers cannot find job and much machinery are inactive.
3. Microeconomics studies the economic behavior of individual film.
4. Land and capital are referred to as material resources.

5. Economic systems reflect a country's history, traditions, aspirations, and politics.

B. Select the best answer for the items below. Refer to the text to check your answers.

1. What is the basic purpose of economics?

A. To know how an economy is organized.
B. To allocate the limited sources
C. To understand the mechanism of economies
D. To study the behavior of consumers

2. Why does scarcity occur?

a. Every individual wants everything
b. Economical policies are inefficient
c. Every decision involves opportunity costs
d. Humans want exceed the unnecessary production

3. Which of the goals are not agreed upon in macroeconomics policy?

a. High Employment
b. Economic growth
c. Price stability
d. Equity

4. Which one is not a goal in microeconomics?

A) Efficiency
B) Freedom
C) Factors of production
D) Equity

5. Which one is true about factors of production?

A) They produce anything and resources
B) They are buildings, laborers and machinery
C) They are human resources, capital and land
D) They are capital, land and labor

C. Answer the following questions.

1. What is economics concerned with?
2. What does microeconomics investigate?
3. Why does scarcity occur?
4. What are the main goals of macro policy?
5. What does microeconomics study?
6. What do resources refer to?

Vocabulary Loading

A. Using the words given in the box find pair from the passage.

distribution	**goods**	**objectives**	**various**	**equity**	**inefficient**	**luxuriously**	**labor**	**economic growth**
consumption	servi**ces**	scarce	resources	pover**ty**	incom**es**	**en**trepreneur	manufac**turing**	factors of production
production	economi**es**	basic	wants	policy	capital	material resources	price stability	opportunity costs
agricultural	firm**s**	com**plex**	industr**ial**	liberal	**en**terprise			
individually	loss**es**							

B. Find matching pairs. Translate them into Arabic.

Part 1	**Part 2**	**Pairs**	**Translation**
various	objectives		
basic	economies		
satisfy	goods and service		
achieve	economics		
consumption of	resources		
branches of	desires		
scarce	purpose		
limited	costs		
opportunity	his choice		
narrows	time and resources.		

Part 1	**Part 2**	**Pairs**	**Translation**
basic	objectives		
idea	is reflected		
available	goals		
absorbs the	machinery		
agreed-upon	resources		
macro	employment		
High	policy		
manufacturing	stability		
idle	losses		
Price	plants		

Part 1	**Part 2**	**Pairs**	**Translation**
Agricultural	representative		
Building	terms		
Basic	land		
In economic	sites		
Capital	payment		
Sales	needed resources		
Set up a	the profits		
Assembles the	money		
Risk	goods.		
Reaps	business		

C. Pair Work. Fill in the blanks using the proper words from the previous section.

1. The efforts of a factory worker, a lawyer, a ....., or anyone who works for a business are defined as labor.
2. The entrepreneur sets up a business, assembles the needed resources, risks his or her own money, and reaps the profits or ..... of this enterprise.
3. All economies rely on the same basic ..... not all are blessed with the same quantity and quality of resources.
4. Economics is concerned with production, distribution, and ..... and services.
5. If ..... are volatile, people may be uncertain about how much their wages will buy or whether to consume now or invest in hopes of future returns.

D. Match the words on the left with their definitions or synonyms on the right. Find their Arabian equivalents with your partner.

Words	**Definitions**
1. exchange rate	a. The desirable and measurable result from an action, investment or resource.
2. corporations	b. A problem of enormous dimensions.
3. society	c. A legal entity that is separate and distinct from its owners.
4. benefits	d. Strongly wish for or want (something).
5. diverse	e. the rate at which one currency will be exchanged for another.
6. desires	f. in a sufficiently great or important way as to be worthy of attention.
7. educated	g. with decisive or crucial importance in the success or failure of something.
8. dimensions	h. literate, schooled
9. significantly	i. Showing a great deal of variety; very different.

10. critically j. The aggregate of people living together in a community.

Grammar injection

Fill in the blanks with the correct form of the verbs from the reading.

Achieve, leave, investigate, occur, imply, hire, force, reflect, waste, require

1. We seek to know how an economy is organized, how it behaves, and how successfully it ..... its basic objectives.
2. Huge gaps between the rich and the poor ..... most people impoverished while a privileged few live luxuriously.
3. Macroeconomics ..... how scarce resources are allocated within the economy as a whole or within an entire industry.
4. Scarcity ..... because human wants exceed the production possible with our limited time and resources.
5. Scarcity ..... that every decision involves opportunity costs.
6. If a town ..... an extra police officer instead of repairing several streets, the opportunity cost of hiring the officer is not repairing the streets.
7. Thus scarcity ..... us to choose. This idea is reflected in the following definition of economics:
8. Besides each economic system ..... the country's history, traditions, aspirations, and politics. What works for one culture might not work as well for another, and vice versa.
9. An inefficient economy ..... resources and fails to provide the highest possible standard of living for consumers.
10. Maximum freedom ..... people to have the widest possible range of choices available.

Grammar Handling

Economics is a science and its texts are scientific. When reading scientific passages readers encounter academic facts. Grammatically often the verbs are present simple. In respect to the subject of the sentence the verb is singular with third person S or plural in its base form.

For example: Macroeconomics **investigates** how scarce resources are allocated within the economy**.** ***Could you find five more examples in the passage?***

Present Simple Usage:

1- To talk about things which are repeated every day, every week, every year, etc. We always go on holiday in the summer.
2- To talk about permanent states which are not temporary. They live in Bordj Bou Arreridj

Translate the text into Arabic.

Economists have developed the terminology to describe economic issues. This terminology is important because if you are going to talk about the state of the economy, you need the terminology to do it. Shareholder, GDP, GNP, capital, supply and demand, costs, benefits, exchange rate are just a few of the terms the meaning of which any educated person in modern society needs to know. Two terms to be introduced to you immediately are the economy and economics. The economy is the institutional structure through which individuals in a society coordinate their diverse wants or desires. Economics is the study of the economy. That is, economics is the study of how human beings in a society coordinate their wants and desires.

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Self-Check

Check your progress in this unit. Tick (√) the statements which are true about you.

• I can define economics in English.

• I have learned more than 50 words from this unit.

• I can expand my vocabulary with matching pairs.

• This unit helped me understand my technical subject better.